

Senate File 2197 - Introduced

SENATE FILE 2197

BY ALONS

A BILL FOR

1 An Act relating to app store provider and app developer
2 requirements concerning minor users, and providing civil
3 penalties, and including applicability provisions.
4 BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

1 Section 1. NEW SECTION. 554J.1 Definitions.

2 1. "*Account holder*" means the individual who is associated
3 with the mobile device.

4 2. "*Age category*" means one of the following categories of
5 individuals based on age:

6 a. "*Adult*" which means an individual who is at least
7 eighteen years old.

8 b. "*Child*" which means an individual who is under thirteen
9 years old.

10 c. "*Older teenager*" which means an individual who is at
11 least sixteen years old and under eighteen years old.

12 d. "*Younger teenager*" which means an individual who is at
13 least thirteen years old and under sixteen years old.

14 3. "*Age category data*" means information about an account
15 holder's age category that is collected by an app store
16 provider and is shared with a developer.

17 4. "*Age rating*" means one or more classifications that
18 assess the suitability of an app's content and functions for
19 different age groups.

20 5. "*App*" means a software application or electronic service
21 that a user may run or direct on a mobile device.

22 6. "*App store*" means a publicly available internet site,
23 software application, or electronic service that allows an
24 account holder to download an app from a third-party developer
25 onto a mobile device.

26 7. "*App store provider*" means a person that owns, operates,
27 or controls an app store that allows account holders in the
28 state to download apps onto a mobile device.

29 8. "*Content description*" means a description of the specific
30 content elements or functions that informed an app's age
31 rating.

32 9. "*Developer*" means a person that owns or controls an app
33 made available through an app store in the state.

34 10. "*Knowingly*" means to act with actual knowledge or
35 to act with knowledge fairly inferred based on objective

1 circumstances.

2 11. "*Minor*" means an individual under eighteen years old
3 unless the individual is married or legally emancipated.

4 12. "*Minor account*" means an account with an app store
5 provider that is established by an individual who is a minor.
6 A minor account must be affiliated with a parent account.

7 13. "*Mobile device*" means a phone or general-purpose tablet
8 described by all of the following:

9 a. The phone or general-purpose tablet provides cellular or
10 wireless connectivity.

11 b. The phone or general-purpose tablet is capable of
12 connecting to the internet.

13 c. The phone or general-purpose tablet runs a mobile
14 operating system.

15 d. The phone or general-purpose tablet is capable of running
16 apps through the mobile operating system.

17 14. "*Mobile operating system*" means software that does all
18 of the following:

19 a. Manages mobile device hardware resources.

20 b. Provides common services for mobile device programs.

21 c. Controls memory allocation.

22 d. Provides interfaces for apps to access device
23 functionality.

24 15. "*Parent*" means, with respect to a minor, an individual
25 who is reasonably believed to be a parent, a legal guardian, an
26 individual with legal custody, or any other individual who has
27 the legal authority to make decisions on behalf of the minor.

28 16. "*Parent account*" means an account with an app store
29 provider that is described by all of the following:

30 a. The account is verified to be established by an
31 individual the app store provider has determined through
32 the app store provider's age verification methods that
33 the individual is at least eighteen years old, married, or
34 emancipated.

35 b. The account may be affiliated with one or more minor

1 accounts.

2 17. "*Parental consent disclosure*" means a statement about
3 an app or an in-app purchase containing all of the following
4 information:

5 a. If the app store provider has an age rating for the app
6 or in-app purchase, the app's or in-app purchase's age rating.

7 b. If the app store provider has a content description for
8 the app or in-app purchase, the app's or in-app purchase's
9 content description.

10 c. A description of all of the following:

11 (1) The personal data collected by the app from an account
12 holder.

13 (2) The personal data shared by the app with a third party.

14 d. If personal data is collected by the app, the methods
15 implemented by the developer to protect the personal data.

16 18. "*Significant change*" means a material modification to
17 an app's terms of service or privacy policy that is described
18 by any of the following:

19 a. The modification changes the categories of data
20 collected, stored, or shared.

21 b. The modification alters the app's age rating or content
22 descriptions.

23 c. The modification adds new monetization features,
24 including any of the following:

25 (1) In-app purchases.

26 (2) Advertisements.

27 d. The modification materially changes any of the following:

28 (1) The app's functionality.

29 (2) The app's user experience.

30 19. "*Verifiable parental consent*" means authorization that
31 is described by all of the following:

32 a. The authorization is provided by a parent account.

33 b. The authorization is given after the app store provider
34 has clearly and conspicuously provided the parental consent
35 disclosure as part of the app download, purchase, or in-app

1 purchase process.

2 *c.* The authorization requires the parent to make an
3 affirmative choice to do any of the following:

4 (1) Grant consent.

5 (2) Decline consent.

6 Sec. 2. NEW SECTION. **554J.2 App store provider**
7 **requirements.**

8 1. An app store provider shall do all of the following:

9 *a.* At the time an individual who is located in the state
10 creates an account with the app store provider, the app store
11 provider shall do all of the following:

12 (1) Request age category information from the individual.

13 (2) Verify the individual's age category using any of the
14 following:

15 (a) Commercially available methods that are reasonably
16 designed to ensure accuracy.

17 (b) An age verification method or process that complies with
18 rules adopted by the attorney general.

19 *b.* If the app store provider determines the individual is a
20 minor, the app store provider shall do all of the following:

21 (1) Require the account to be affiliated with a parent
22 account.

23 (2) Obtain verifiable parental consent from the holder of
24 the affiliated parent account each time before allowing the
25 minor to any of the following:

26 (a) Download an app.

27 (b) Purchase an app.

28 (c) Make an in-app purchase.

29 *c.* After receiving notice of a significant change from
30 a developer, the app store provider shall do all of the
31 following:

32 (1) Notify the account holder of the significant change.

33 (2) For a minor account, all of the following:

34 (a) Notify the parent account.

35 (b) Obtain renewed verifiable parental consent.

- 1 *d.* Provide to a developer, in response to a request
2 authorized under section 554J.3, all of the following:
- 3 (1) Age category data for an account holder located in the
4 state.
- 5 (2) The status of verifiable parental consent for a minor
6 located in the state.
- 7 *e.* Notify a developer when a parent revokes verifiable
8 parental consent.
- 9 *f.* Protect age category data and any associated verification
10 data through all of the following:
- 11 (1) Limiting collection and processing to data necessary to
12 all of the following:
- 13 (a) Verifying an account holder's age category.
14 (b) Obtaining verifiable parental consent.
15 (c) Maintaining compliance records.
- 16 (2) Transmitting age category data using industry-standard
17 encryption protocols that ensure data integrity and data
18 confidentiality.
- 19 2. An app store provider shall not do any of the following:
- 20 *a.* Enforce a contract or terms of service against a minor
21 unless the app store provider has obtained verifiable parental
22 consent.
- 23 *b.* Knowingly misrepresent the information in the parental
24 consent disclosure.
- 25 *c.* Share age category data and any associated data except as
26 required by this chapter or otherwise required by law.
- 27 Sec. 3. NEW SECTION. 554J.3 **Developer requirements.**
- 28 1. A developer shall do all of the following:
- 29 *a.* Verify through the app store's data sharing methods the
30 age category data of account holders located in the state, and
31 for a minor's account, whether verifiable parental consent has
32 been obtained.
- 33 *b.* Notify app store providers of a significant change to an
34 app.
- 35 *c.* Use age category data received through the app store's

1 data sharing methods to do all of the following:
2 (1) Enforce any developer-created, age-related
3 restrictions, safety-related features, or defaults.
4 (2) Ensure compliance with applicable laws and regulations.
5 *d.* Request age category data or verifiable parental consent
6 at all of the following times:
7 (1) At the time an account holder downloads an app.
8 (2) At the time an account holder purchases an app.
9 (3) When implementing a significant change to the app.
10 (4) When necessitated to comply with applicable law.
11 2. A developer may request age category data at all of the
12 following times:
13 *a.* No more than once during each twelve-month period to
14 verify any of the following:
15 (1) The accuracy of age category data associated with an
16 account holder.
17 (2) Continued account use within the age category.
18 *b.* When there is reasonable suspicion of any of the
19 following:
20 (1) An account transfer.
21 (2) Misuse outside of the age category.
22 *c.* At the time an account holder creates a new account with
23 the developer.
24 3. When implementing any developer-created, age-related
25 restrictions, safety-related features, or defaults, a developer
26 shall use the lowest age category indicated by any of the
27 following:
28 *a.* Age category data received through the app store's data
29 sharing methods.
30 *b.* Age data independently collected by the developer.
31 4. A developer shall not do any of the following:
32 *a.* Enforce a contract or terms of service against a minor
33 unless the developer has verified through an app store's data
34 sharing methods that verifiable parental consent has been
35 obtained.

1 *b.* Knowingly misrepresent any information in the parental
2 consent disclosure.

3 *c.* Share age category data with any person.

4 Sec. 4. NEW SECTION. 554J.4 Attorney general — rulemaking
5 authority.

6 The attorney general shall adopt rules to establish
7 processes and means by which an app store provider may verify
8 an account holder's age category as required under section
9 554J.2.

10 Sec. 5. NEW SECTION. 554J.5 Enforcement.

11 1. *a.* A minor, or the parent of a minor, who has been
12 harmed by a violation of this chapter may bring a civil action
13 against an app store provider or a developer.

14 *b.* In an action brought under this subsection, the court
15 shall award a prevailing plaintiff any combination of the
16 following:

17 (1) The greater of actual damages or one thousand dollars
18 per violation.

19 (2) Punitive damages if the violation was egregious.

20 (3) Reasonable attorney fees.

21 (4) Court costs.

22 2. *a.* A violation of this chapter is an unfair practice
23 under section 714.16 subject to the civil penalty limitation in
24 paragraph "b", subparagraph (1).

25 *b.* In addition to any other available remedy, the attorney
26 general may bring an action against an app store provider or a
27 developer to do any combination of the following:

28 (1) Recover a civil penalty not to exceed seven thousand
29 five hundred dollars per violation.

30 (2) Restrain or enjoin the app store provider or developer
31 from violating this chapter.

32 (3) Seek injunctive relief.

33 (4) Recover reasonable attorney fees.

34 (5) Recover litigation costs and the costs of investigating
35 the violation.

1 Sec. 6. NEW SECTION. **554J.6 Safe harbor.**

2 1. A developer is not liable for a violation of this chapter
3 if the developer demonstrates that the developer did all of the
4 following:

5 a. Relied in good faith on applicable age category data
6 received through an app store's data sharing methods.

7 b. Relied in good faith on notification from an app store
8 provider that verifiable parental consent was obtained if the
9 account holder was a minor.

10 c. Complied with the requirements described in section
11 554J.3.

12 2. In determining an app's age rating and content
13 description for purposes of section 554J.3, a developer is not
14 liable for a violation of this chapter if the developer uses
15 widely adopted industry standards to determine the app's age
16 category and content description and applies the standards
17 consistently and in good faith.

18 3. The safe harbor described in this section applies only
19 to actions brought under this chapter, and does not limit a
20 developer or app store provider's liability under any other
21 applicable law.

22 4. Nothing in this chapter shall displace any other
23 available remedies or rights authorized under the laws of this
24 state or the United States.

25 Sec. 7. NEW SECTION. **554J.7 Severability.**

26 The provisions of this chapter are severable pursuant to
27 section 4.12.

28 Sec. 8. NEW SECTION. **554J.8 Application and limitations.**

29 This chapter shall not be construed to do any of the
30 following:

31 1. Prevent an app store provider or developer from taking
32 reasonable measures to do any of the following:

33 a. Block, detect, or prevent distribution of any of the
34 following to a minor:

35 (1) Unlawful material.

- 1 (2) Obscene material.
- 2 (3) Other harmful material.
- 3 *b.* Block or filter spam.
- 4 *c.* Prevent criminal activity.
- 5 *d.* Protect app store or app security.
- 6 2. Require an app store provider to disclose user
- 7 information to a developer beyond age category data.
- 8 3. Allow an app store provider or developer to implement
- 9 measures required by this chapter in a manner that is
- 10 arbitrary, capricious, anticompetitive, or unlawful.
- 11 4. Require an app store provider or developer to obtain
- 12 verifiable parental consent for an app that is described by all
- 13 of the following:
- 14 *a.* The app provides direct access to emergency services,
- 15 including any of the following:
- 16 (1) 911.
- 17 (2) A crisis hotline.
- 18 (3) Emergency assistance services legally available to
- 19 minors.
- 20 *b.* The app limits data collection to information necessary
- 21 to provide emergency services in compliance with 15 U.S.C.
- 22 §6501, et seq.
- 23 *c.* The app provides access without requiring any of the
- 24 following:
- 25 (1) Account creation.
- 26 (2) Collection of unnecessary personal information.
- 27 *d.* The app is operated by or in partnership with any of the
- 28 following:
- 29 (1) A government entity.
- 30 (2) A nonprofit organization.
- 31 (3) An authorized emergency service provider.
- 32 5. Require a developer to collect, retain, re-identify,
- 33 or link any information beyond what is necessary to verify
- 34 age category data as required by this chapter and collected,
- 35 retained, re-identified, or linked in the developer's ordinary

1 course of business.

2 6. Relieve a developer of its obligation to conduct age
3 verification as otherwise required by law. A developer may
4 rely on age category data obtained under this chapter to the
5 extent those signals satisfy the requirements of applicable
6 law.

7 Sec. 9. Section 714.16, subsection 2, Code 2026, is amended
8 by adding the following new paragraph:

9 NEW PARAGRAPH. *t.* It is an unlawful practice for a person
10 to violate chapter 554J.

11 Sec. 10. APPLICABILITY. The following apply December 1,
12 2026:

13 The sections of this Act enacting sections 554J.2 and
14 554J.3.

15 EXPLANATION

16 The inclusion of this explanation does not constitute agreement with
17 the explanation's substance by the members of the general assembly.

18 This bill relates to app store provider and app developer
19 requirements concerning minor users.

20 The bill defines "developer" as a person that owns or
21 controls an app made available through an app store in the
22 state.

23 The bill also defines "account holder", "age category", "age
24 category data", "age rating", "app", "app store", "app store
25 provider", "content description", "knowingly", "minor", "minor
26 account", "mobile device", "mobile operating system", "parent",
27 "parent account", "parental consent disclosure", "significant
28 change", and "verifiable parental consent".

29 The bill requires an app store provider to request age
30 category information and verify the age of an individual
31 located in this state at the time the individual creates an
32 account with the app store provider. If the app store provider
33 determines the individual is a minor, the app store provider
34 must require the account to be affiliated with a parent account
35 and obtain verifiable parental consent from the holder of

1 the affiliated parent account each time before allowing the
2 minor to download an app, purchase an app, or make an in-app
3 purchase.

4 The bill requires an app store provider to provide notices
5 and receive verifiable parental consent as described in
6 the bill after the app store provider receives notice of a
7 significant change from a developer.

8 The bill requires an app store provider to provide
9 age category data for an account holder and the status of
10 verifiable parental content for a minor when a developer
11 requests such information. The app store provider must also
12 notify the developer when a parent revokes verifiable parental
13 consent.

14 The bill requires an app store provider to protect age
15 category data and any associated verification data through
16 methods described in the bill.

17 The bill prohibits an app store provider from enforcing
18 a contract or terms of service against a minor unless the
19 app store provider has obtained verifiable parental consent,
20 knowingly misrepresenting the information in the parental
21 consent disclosure, or sharing age category data and any
22 associated data except as required by the new Code chapter or
23 otherwise required by law.

24 The bill requires a developer to verify through the app
25 store's data sharing methods the age category data of account
26 holders located in the state, and for a minor's account,
27 whether verifiable parental consent has been obtained; notify
28 app store providers of a significant change to an app; use age
29 category data received through the app store's data sharing
30 methods to perform acts detailed in the bill; and request age
31 category data or verifiable parental consent at times detailed
32 in the bill.

33 The bill allows a developer to request age category data at
34 times detailed in the bill.

35 When implementing any developer-created, age-related

1 restrictions, safety-related features, or defaults, the
2 bill requires a developer to use the lowest age category as
3 indicated by age category data received through the app store's
4 data sharing methods or age data independently collected by the
5 developer.

6 The bill prohibits a developer from enforcing a contract
7 or terms of service against a minor unless the developer has
8 verified through an app store's data sharing methods that
9 verifiable parental consent has been obtained, knowingly
10 misrepresenting any information in the parental consent
11 disclosure, or sharing age category data with any person.

12 The bill requires the attorney general to adopt rules to
13 establish processes and means by which an app store provider
14 may verify an account holder's age category.

15 The bill allows a minor, or the parent of a minor, who has
16 been harmed by a violation of the bill to bring a civil action
17 against an app store provider or a developer. The court shall
18 award a prevailing plaintiff any combination of the greater of
19 actual damages or \$1,000 per violation, punitive damages if the
20 violation was egregious, reasonable attorney fees, and court
21 costs.

22 A violation of the bill is an unfair practice under Code
23 chapter 714.16 (consumer fraud), punishable by disgorgement of
24 money, return of money to a plaintiff, enjoinder of fraudulent
25 acts, and a civil penalty of up to \$7,500.

26 In addition to other available remedies, the bill allows
27 the attorney general to bring an action against an app store
28 provider or a developer to restrain or enjoin the app store
29 provider or developer from violating the bill, seek injunctive
30 relief, recover reasonable attorney fees, and recover
31 litigation costs and the costs of investigating the violation.

32 A developer is not liable for a violation of the bill if the
33 developer demonstrates that the developer relied in good faith
34 on applicable age category data received through an app store's
35 data sharing methods, relied in good faith on notification from

1 an app store provider that verifiable parental consent was
2 obtained if the account holder was a minor, and complied with
3 the bill's other requirements.

4 In determining an app's age rating and content description,
5 a developer is not liable for a violation of the bill if the
6 developer uses widely adopted industry standards to determine
7 the app's age category and content description and applies the
8 standards consistently and in good faith.

9 The safe harbor described in the bill applies only to actions
10 brought under the bill's provisions, and does not limit a
11 developer or app store provider's liability under any other
12 applicable law.

13 Nothing in the bill shall displace any other available
14 remedies or rights authorized under the laws of this state or
15 the United States.

16 The provisions of the bill are severable.

17 Nothing in the bill shall be construed to prevent an app
18 store provider or developer from taking reasonable measures
19 against certain objectionable materials or criminal activity
20 or otherwise protect app store or security as detailed in
21 the bill; require an app store provider to disclose user
22 information to a developer beyond age category data; allow
23 an app store provider or developer to implement measures
24 required by the bill in a manner that is arbitrary, capricious,
25 anticompetitive, or unlawful; require an app store provider
26 or developer to obtain verifiable parental consent for an app
27 that is related to emergency services as described in the
28 bill; require a developer to collect, retain, re-identify, or
29 link any information beyond what is necessary to verify age
30 category data as required by the bill and collected, retained,
31 re-identified, or linked in the developer's ordinary course of
32 business; or relieve a developer of its obligation to conduct
33 age verification, as otherwise required by law. A developer
34 may rely on age category data obtained under the bill to the
35 extent those signals satisfy the requirements of applicable

1 law.

2 The bill makes a conforming change to Code section 714.16.

3 The bill's provisions creating requirements for app store
4 providers and developers apply December 1, 2026.